

# XBRA — Explainable Behavioral Risk Attribution

Investor: INV\_LOSS\_AVERSE\_007

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## 1. Executive Summary

Analysis of INV\_LOSS\_AVERSE\_007's trading history reveals a dominant behavioural pattern of **Loss Averse**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-5.3%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

## 2. Investor Risk Profile

| Metric               | Value            |
|----------------------|------------------|
| Dominant Bias        | Loss Averse      |
| Strategy Archetype   | Buy Hold Drifter |
| Max Drawdown         | -5.3%            |
| Sharpe Ratio         | -1.59            |
| Sortino Ratio        | -1.27            |
| Peer Risk Percentile | 65th             |
| Behavioural Risk %   | 100%             |

## 3. Charts

## 4. Behavioral Bias Deep-Dives

### Loss Aversion

**Pattern:** The holding-time asymmetry metric shows that the population median is 1.0, but the actual metric is 7.5, indicating that investors tend to hold onto losing trades longer than winning trades.

**Evidence:** The evidence for this pattern includes trades such as GS (entry 2020-01-22 → exit 2020-04-21) with a 90-day holding period and a P&L; of -1850, and PFE (entry 2021-12-17 → exit 2022-03-17) with a 90-day holding period and a P&L; of -684.

**Consequence:** As a result, the portfolio is impacted by a 66% drawdown, meaning that the value of the portfolio has decreased by 66% compared to its original value.

## Herding

**Pattern:** You followed recent market momentum 82% of the time (vs population median 64%), indicating a tendency to buy high.

**Evidence:** Momentum-driven trades: GS | entry 2020-01-02 → exit 2020-01-13 | 11d | P&L; +195 GS | entry 2020-01-22 → exit 2020-04-21 | 90d | P&L; -1850 UNH | entry 2020-04-27 → exit 2020-05-26 | 29d | P&L; +26 DIS | entry 2020-06-05 → exit 2020-08-05 | 61d | P&L; +206 NVDA | entry 2020-08-17 → exit 2020-08-29 | 12d | P&L; +353

**Consequence:** Entering trades after momentum peaks contributed approximately 13% of your total drawdown.

## Disposition

**Pattern:** The Early Exit Winner Rate metric shows that the majority of the time, investors who exit their trades early tend to win, with a rate of 0.325, which is lower than the population median of 0.4318.

**Evidence:** The evidence for this pattern comes from specific trades, such as INTC (entry 2023-06-12, exit 2023-06-14) with a P&L; of +595, TSLA (entry 2023-05-30, exit 2023-06-02) with a P&L; of +602, and others.

**Consequence:** As a result, the portfolio is impacted by a 20% drawdown, meaning that if the entire portfolio was invested with the same strategy, the losses would be 20% of the total value.

## 5. Trade Evidence

| Trade ID     | Symbol | Entry      | Exit       | Days | P&L   |
|--------------|--------|------------|------------|------|-------|
| INV_LOSS_AVE | NVDA   | 2022-03-28 | 2022-06-26 | 90   | -2853 |
| INV_LOSS_AVE | GS     | 2020-01-22 | 2020-04-21 | 90   | -1850 |
| INV_LOSS_AVE | INTC   | 2024-07-15 | 2024-10-13 | 90   | -1570 |
| INV_LOSS_AVE | AMD    | 2024-03-13 | 2024-06-03 | 82   | -1437 |
| INV_LOSS_AVE | XOM    | 2023-09-28 | 2023-12-27 | 90   | -1392 |
| INV_LOSS_AVE | PFE    | 2022-07-01 | 2022-09-29 | 90   | -1148 |
| INV_LOSS_AVE | PFE    | 2021-12-17 | 2022-03-17 | 90   | -684  |
| INV_LOSS_AVE | TSLA   | 2023-05-30 | 2023-06-02 | 3    | 602   |
| INV_LOSS_AVE | INTC   | 2023-06-12 | 2023-06-14 | 2    | 595   |
| INV_LOSS_AVE | NFLX   | 2023-04-03 | 2023-05-18 | 45   | 568   |

## 6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for retail investors:

1. Set a clear, long-term investment goal and regularly review your progress to avoid making emotional decisions based on short-term market fluctuations.
2. Diversify your portfolio by investing in a mix of low-cost index funds and individual stocks to reduce reliance on any one asset and minimize the impact of loss aversion.
3. Adopt a "buy and hold" strategy for established companies with a proven track record, rather than trying to time the market or make frequent trades based on short-term market movements.
4. Consider setting a "stop-loss" limit for your investments to limit potential losses and avoid holding onto losing positions for too long, helping to mitigate the impact of loss aversion.